

ESTIMATING THE COST OF INCIDENTS

HOW IT WORKS

- There are two cost streams mainly
 - Cost to the business because of the incident
 - Cost of providing services to resolve the incident

COST TO THE BUSINESS

- Majority of the company only calculate cost to the business in the case of financial loss incidents.
- Mainly because, Such incidents
 - Happen infrequently
 - Have significant business impact
 - Affect groups of users we can more easily identify

COST TO THE BUSINESS

- It can be easily done by
 - Assessing lost production hours
 - Assessing loss of profitability
 - Assessing damage to reputation

COST TO THE BUSINESS

- It can only work for handful of Major incidents.
- Many routine incidents are much harder to assess
 - Some incidents have no cost
 - Some will have a cost that is quite difficult to calculate because it is connected with intangibles such as lost business opportunity.
 - Aside from going through each incident individually, it is impossible to calculate the cost

COST TO THE BUSINESS

- Many organization uses cost brackets to identify an incident's cost.They are known as “cost code”
- Cost code is a way of approximating the actual cost of an incident.
- A person from incident response team or team leader can assign a cost code to each incident
- At the end of each financial year, Finance team can use cost code to get an aggregated value report for all the incidents the organization has faced.

COST TO THE BUSINESS

- An example of Cost code can be
 - 0 – No Cost
 - 1 – 0 to 10,000
 - 2 – 10,000 to 20,000
 - 3 – 20,000 to 30,000
 - 4 – 30,000 to 40,000
 - 5 – 40,000 to 50,000

COST OF INCIDENT MANAGEMENT

- There are certain factors that play a huge role in estimating the cost of incident management. Such as,
 - Throughput - The number of incidents logged or resolved in a month
 - Team Composition - Amount of people involved in incident management
 - Time Spent Estimate - Amount of time each member of the team spent behind incident management
 - Capital Expenditure - Purchase and maintenance cost of the equipment used by IRM team
 - Salary of the IRM team members
 - Overhead expenses for accommodation and training , etc for IRM team

COST OF INCIDENT MANAGEMENT

Throughput	T
Time Spent Estimate	P
Capital Expenditure	C
Salary of employee	Y
Overheads Cost	H
Sum of all staff's cost	S

COST OF INCIDENT MANAGEMENT

- Part I – Staff Cost Calculation
- Here, We will calculate the staff cost for an incident
- Formula – $B = (Y/100) * P$
- You will get the output for one employee, We will need that figure for all employees involved in incident management.
- At the end the Staff cost $S = B1 + B2 + B3 + \dots + Bn$

COST OF INCIDENT MANAGEMENT

- Part 2 – Cost per incident
- Finally, Once we have staff cost with us. We can calculate cost per incident.
- Formula – $CPI = (S + (S * H / 100) + C) / (T)$

REFERENCE

- <https://www.seriosoft.com/blog/estimating-cost-incidents>
- <https://www.seriosoft.com/blog/estimating-cost-incidents-incident-management-process>